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# Module 1: Managing the Company to Meet Stakeholder Needs

An insurer's overall direction is determined by its executives, with guidance from the board of directors. In this module, we explore how an insurer is organized and managed to balance the needs of a diverse set of stakeholder groups, and how an insurer manages the risk it must take in order to earn a return.

In this module, you'll learn about

- How an insurer's board and executives manage the company ethically to meet the needs of various stakeholders
- The ways an insurer can be organized for success
- How an insurer manages the various risks it faces to earn an appropriate return

# Lesson 1: Many Stakeholders, Many Demands

An insurer is governed by a board of directors, which gives broad guidance to management. But how do the board and management know if the company is succeeding? Learn how an insurer balances its obligations to multiple stakeholders, while adhering to the appropriate ethical standards.

# Learning Objectives

- Describe various stakeholder groups connected with an insurance company.
- Explain the governance role of a company's board of directors, and describe the impact of governance on conflicting priorities.
- Define ethics, and identify mechanisms companies employ to foster a culture of ethical behavior.

# Balancing Stakeholder Needs

### Learning Objective

Describe various stakeholder groups connected with an insurance company.

Welcome to *LOMA 291: Improving the Bottom Line—Insurance Company Operations.* My name is Grace Avon and I am CEO of Forthright Financial, a life insurance company. Like anybody, I want to be successful in my job and make sure that my company is successful as well. But how do I know if I am being successful? How do you measure a company's success?

Should I aim to maximize revenues, or profit, or stock price? Should I be most worried about our ratings from the ratings agencies, about satisfying government regulators, or about paying a dividend—to shareholders or to policyowners? Should I be aiming to create an amazing workplace full of happy employees, or a company that other companies and individuals love to do business with?

The answer to all these questions is "Yes!" But which factors should be the top priorities? That's a difficult question, and different people would probably give a different answer. As you'll see, Forthright must weigh the interests of several different groups. In this course, we'll start by examining how an insurance company decides what goals it will pursue. Then we'll discuss the roles of all the different areas of the company in achieving these goals.

### Insurance Company Stakeholders

Lots of different groups have a stake in how Forthright Financial operates. We sometimes refer to these groups as **stakeholders** (A party that has an interest in how a company conducts its business. Also known as a constituent. )or constituents. Stakeholders are parties who have a stake in how Forthright conducts its business.

Let's meet some of these stakeholders.

## *Frank Pulaski—Forthright Stockholder*

We stockholders expect the company to grow steadily. We expect to earn a reasonable return, sometimes in the form of dividends. Do you know what a dividend is? Sometimes the board of directors votes to make a payment to the stockholders. The payment is called a **dividend (**Compensation that a company may pay to owners upon a vote by the company's board of directors.)

A: What about mutual and fraternal companies

B: They don't issue corporate stock, so they don't have stockholders. They're owned by their policyowners.

A: So they don't issue dividends?

B: They don't issue stockholder dividends, but sometimes they issue **policyowner dividends** by action of the board of directors.

## Dale Jensen—Forthright Policyowner

Here are some factors I considered when I chose to buy a policy from Forthright:

1. Good company reputation
2. Policy features
3. Reasonable charges
4. Financial strength
5. Customer service

Forthright provides my personal safety net because of their good reputation and policy features. They charge me for reasonable expenses and they have the financial strength to be around for the long haul to pay the policy benefits they promise me and my family. So far, I'm pleased with my policy and the company's customer service.

## "Mac" MacDonald—Financial Professional

As a **financial professional (**In insurance sales, any individual—including agents, bank-affiliated sales personnel, and brokers—who is licensed to sell insurance products, solicit sales, or negotiate insurance contracts.), I sell Forthright's products to the public. Some people call me an insurance agent because I have an agency relationship with Forthright. I'm a Forthright customer, too. Why do I place business with Forthright? Here are some reasons:

1. Forthright's products meet my clients' needs.
2. Forthright offers competitive compensation on the business I sell.
3. Its staff is top notch and provides fast and accurate support.
4. The company has good ratings, so I trust its ability to meet policy obligations in the future.

***Khalid Husseini—Forthright Employee***

I've been in customer service at Forthright for almost 15 years. I manage the customer service staff, and we're always busy. I like working with good people and in a reputable company. I appreciate Forthright's employee benefits and competitive compensation.

1. I value the long-term employment.
2. I enjoy my coworkers.
3. I'm proud to work for a reputable company.
4. I appreciate the salary and benefits.

## *Pol Rand—Reinsurer*

I'm with Gargantuan Reinsurance. **Reinsurance (Insurance that one insurance company, known as the direct writer, purchases from another insurance company, known as the reinsurer, to transfer all or part of the risk on insurance policies that the direct writer issued. )**—that's insurance for insurance companies.

Gargantuan Re extends reinsurance to Forthright when Forthright wants our backup on claims. Because of reinsurance, Forthright can issue more insurance than it would without us. In some ways, we're like business partners.

## *Other Stakeholders*

Forthright has other stakeholders.

| Consultants/Vendors |
| --- |
| I'm a public accountant. I provide external audit services to Forthright. Many vendors provide goods and services to Forthright. |

**Borrowers**

I'm a real estate developer. To fund construction projects, I borrow from Forthright Financial. Forthright lends money as one of its investments. They expect to earn a return, so they keep a close eye on me.

**Regulators**

I conduct in-person examinations of insurance companies that do business in my state. I make sure they comply with regulations and maintain fair business practices.

**Rating Agencies**

I assign a grade to Forthright Financial and other companies. The grade, called a *rating,* indicates my company's opinion of Forthright's overall health and stability.

## Associations

As a Forthright actuary, I belong to several organizations that set professional standards. Forthright employs many professionals—actuaries, accountants, auditors, attorneys, underwriters, medical directors, and others. All of these groups have professional associations.

## Let's Review

Select each group which counts among an insurance company's stakeholders.

1. **In each of the following questions, select the person who would most likely make each statement about his or her interests as a stakeholder.**

- ❑ *Financial professionals*
- ❑ *Reinsurance companies*
- ❑ *Employees*
- ❑ *Trade associations*
- ❑ *Owners of company stock*

- ❑ *Policyowners*

**All is correct**

*All of these groups and many more can be counted among the stakeholders of an insurance company!*

2. ***In each of the following questions, select the person who would most likely make each statement about his or her interests as a stakeholder.***

   *"My company provides backup to Forthright on paying its claims.*

- ❑ Policyowner
- ❑ Stockholder
- ❑ Employee
- ❑ Reinsurer
- ❑ Financial professional

**Reinsurer**

3. **"I need prompt handling of my transactions when I make a withdrawal."**

- ❑ Policyowner
- ❑ Stockholder
- ❑ Employee
- ❑ Reinsurer
- ❑ Financial professional

**Policyowner**

4. **"I value having a good job with reliable income and benefits."**

- ❑ Policyowner
- ❑ Stockholder
- ❑ Employee
- ❑ Reinsurer
- ❑ Financial professional

## Employee

5. **"I need Forthright to offer products that meet my clients' needs so that I can earn an income."**

- ❑ Policyowner
- ❑ Stockholder
- ❑ Employee
- ❑ Reinsurer
- ❑ Financial professional

## Financial professional

6. **"I need to earn a return on my stock investment in Forthright."**

- ❑ Policyowner
- ❑ Stockholder
- ❑ Employee
- ❑ Reinsurer
- ❑ Financial professional

## Stockholder

# Corporate Governance

### Learning Objective

Explain the governance role of a company's board of directors, and describe the impact of governance on conflicting priorities.

Each stakeholder group has an interest in how the insurer operates—the decisions it makes and the actions it takes.

Sometimes stakeholder groups share the same company goals. But other times these groups have different interests and, as a result, different goals. For example, suppose Forthright has some capital—money, that is—and it needs to decide how to spend it. Some options could be

- Declare a stockholder dividend
- Declare a policyowner dividend
- Purchase another company
- Expand into a new product line

Which would you want the company to do?

Your answer depends on whether you're a stockholder, policyowner, employee, or financial professional. That's why the company needs to

- Balance the interests of the different stakeholder groups and
- Prioritize each group's interests, if necessary

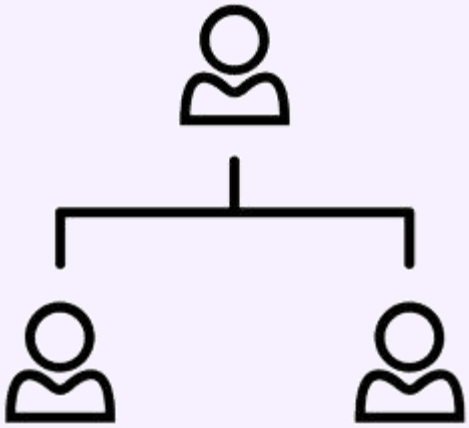
## *Board of Directors*

The owners elect a **board of directors (A corporation's governing body, elected by the owners, that makes broad policy decisions to ensure that stakeholder interests are safeguarded appropriately. )**—a "government" for the company. The directors are responsible for corporate **governance (A corporate board's accountability, responsibility, and authority to direct an organization to properly fulfill its missions on behalf of legitimate stakeholders.)** Governance refers to a board's responsibility and authority, as well as to management's accountability, to direct an organization to properly fulfill its missions on behalf of its owners and other legitimate stakeholders.

How do they safeguard stakeholder interests? Use the right arrows below to see some tools they can use.

**Company Policy**

**Codes of Conduct**



**Organizational Structure**

**Compensation Arrangements and Bonus Pay**

**Organizational Control Tools**

### *Board Transactions*

A board's decisions—called policy decisions—give broad guidance to management. Typical policy-making responsibilities of Forthright's board of directors include

- Authorizing a major business transaction, such as a merger
- Declaring a dividend payable to owners
- Setting a major company policy
- Operating permanent committees of the board
- Evaluating the company's operating results
- Appointing executives
- Setting compensation, including incentives, for executive officers

### Board Committees

A company's board of directors meets regularly, but, outside of these meetings, permanent committees of the board do important work.

These committees set general guidelines and make decisions about how to direct Forthright's resources toward achieving corporate objectives.

### Inside and Outside Directors

Forthright's board contains **inside directors (A member of the board of directors who also holds a position within the company.)** and **outside directors (A member of the board of directors who does not hold a position within the company. Also**

**known as an independent director.)**. Several of Forthright's senior executive officers are inside directors. Forthright's outside directors are business people, academic or medical professionals, and community leaders.
Why have both inside and outside directors?

Inside directors are knowledgeable about a company's operations.

Because of their experiences outside of the company, outside directors can provide a broader, less biased perspective than inside directors.

Both perspectives are important.

1. For the agenda for Forthright Financial's board meeting, select the items that are a board responsibility. Choose all that apply.

- ❑ Place an advertising campaign in appropriate media
- ❑ Authorize a major transaction, such as a merger
- ❑ Declare a cash dividend payable to owners
- ❑ Set a major policy for the company
- ❑ Evaluate the company's operating results
- ❑ Assemble financial reports requested as part of an audit
- ❑ Set compensation, including incentives, for executives
- ❑ Recruit financial professionals

**Authorize a major transaction, such as a merger**

**Declare a cash dividend payable to owners**

**Set a major policy for the company**

**Evaluate the company's operating results**

**Set compensation, including incentives, for executives**

*The board of directors is responsible for making broad policy decisions that provide broad guidance to a company's management.*

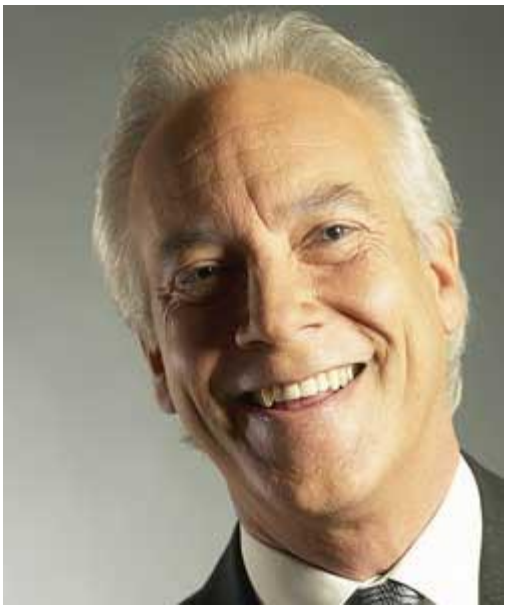
2. Can you identify the inside and outside directors on Forthright's board?

2.1. Hi. We've met before. I'm Chief Executive Officer of Forthright Financial. I chair the human resources committee and sit on the risk committee.

- ❑ Inside Director
- ❑ Outside Director

**Inside Director**

*Grace is an inside director because she holds a position within Forthright Financial.*



2.2. My name's Forrest. I'm retired from a career in securities law, so now my board positions for several companies are my career. I also chair the tax committee of Forthright's board.

- ❑ Inside Director
- ❑ Outside Director

**Inside Director**

*Forrest is an outside director because he does not hold any other position with Forthright Financial.*

# Governance and Ethics

### Learning Objective

Define ethics, and identify mechanisms companies employ to foster a culture of ethical behavior.

Boards of directors fulfill their governance function, in part, by establishing a culture of ethical conduct. It's important for a company to show a true commitment to high ethical standards and for all employees—especially those at the top—to embrace these standards. If employees see their leaders display ethical behavior, they're more likely to trust the company and follow suit.

And companies with strong ethical cultures usually have more motivated and committed employees.

Corporate scandals can damage a company's reputation and cost millions in settlement payments. So when it comes to ethics, the old saying about "an ounce of prevention is worth a pound of cure" couldn't be more true.

## Ethics and Ethical Conduct

**Ethics (A system of accepted standards of conduct and moral judgment that combines the elements of honesty, integrity, and fair treatment.)** is a system of accepted standards of conduct and moral judgment. It includes honesty, integrity, and fair treatment.

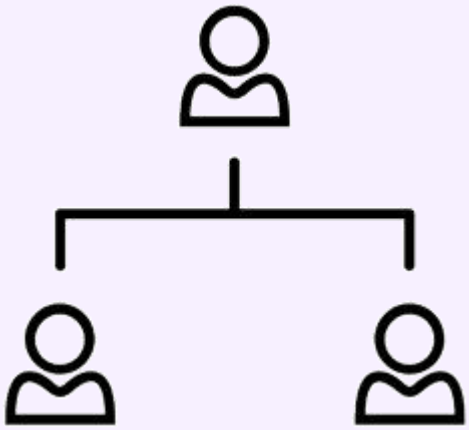
For most companies, the basic ethical rules start with respecting stakeholders (including employees), competing fairly and within the law, and being a responsible corporate citizen

Here are some basic components of ethical corporate behavior:

- Follow accepted legal and moral principles of right and wrong
- Uphold promises to customers
- Perform high-quality work in a timely fashion
- Keep private information confidential

## Support for Ethical Behavior

Use the right arrows below to look at some of the tools that companies like Forthright can employ to encourage integrity and principled business conduct.



**An effective organizational structure**

**Systems of internal and external controls**

**A formal compensation system**

Forthright's system for awarding bonus pay encourages employees to act ethically and also discourages them from acting contrary to Forthright's interests.

**Learning and development opportunities for employees**

Forthright promotes employee learning and development opportunities that emphasize compliance in the heavily regulated insurance industry.

**Participation in industry associations and professional organizations**

Forthright actively participates in industry associations that promote professionalism and good business conduct, including a self-regulatory market conduct program.

**A code of conduct**

Forthright's business must unfailingly meet the highest ethical and moral standards. Company success depends on principled business conduct and public confidence in our integrity.

Annually, Forthright's employees read and sign the **code of conduct (A formal statement of a company's values and its expectations for the behavior of its employees. Also known as a code of business conduct or a code of ethics.)**, which is a statement of the principles employees should follow when representing the company. Every employee receives a wallet reminder card on this occasion.

## *Ethical Guidance*

Many companies offer employees ready access to guidance in ethical matters. Click or touch each heading below to learn more.

**Ethics Office**

An **ethics office** offers qualified professionals who consult with employees about handling ethical issues.

**Online Ethics Help**

Provides company policies on:

- Conduct
- **Inside information**
- Equal employment opportunity (EEO)
- Sexual harassment
- Privacy and data protection

**Ombudsman**

An **ombudsman**—an independent, impartial, and confidential professional with expertise in handling ethics problems.

## Inside Information

Employees, in the course of performing a job, have access to inside information.

"Hey Todd, I've got a great stock tip for you."

Ethically and legally, employees may not unfairly profit by the misuse of inside information. Here are some examples:

- Conducting a transaction in Forthright securities during a blackout period
- Advising a third party about transactions in Forthright securities based on non-public information
- Disclosing any non-public information to third parties

Employees need to keep inside information private, and companies need to provide employees with the resources they need to recognize inside information and understand the importance of keeping it private.

1. Which of the following would Forthright consider to be inside information? Choose all that apply.

- ❑ Information published by a rating agency
- ❑ Marketing strategies
- ❑ Product design assumptions
- ❑ Professional standards set by a trade association

**Marketing strategies**

**Product design assumptions**

*Marketing strategies and product assumptions are examples of inside information. The other types of information are readily available to the public and are therefore not inside information.*

## Additional Activities

Try these activities to relate the content of this lesson to the real world of your company.

- On your company's website, find the board of directors (usually under Investor Relations or Governance) and read about standing committees of the board.
- Find your company's code of ethics (also known as a code of conduct or code of business conduct) and identify support tools to help employees interpret questions of proper conduct.
- Identify elements your company uses to help define an ethical culture.